

If you think about it for a moment, all else being equal, your human capital does a better job of keeping up with inflation compared to your financial capital. After all, salary and wages tend to be linked to inflation, albeit indirectly. However, once you are retired and have spent or converted most of your human capital into financial capital, inflation becomes a greater threat.

For those who are not yet convinced, Figure 5.2 provides yet another way to think about this and is a graphical illustration of the numbers in Table 5.3. As you can see, the elderly spend differently.

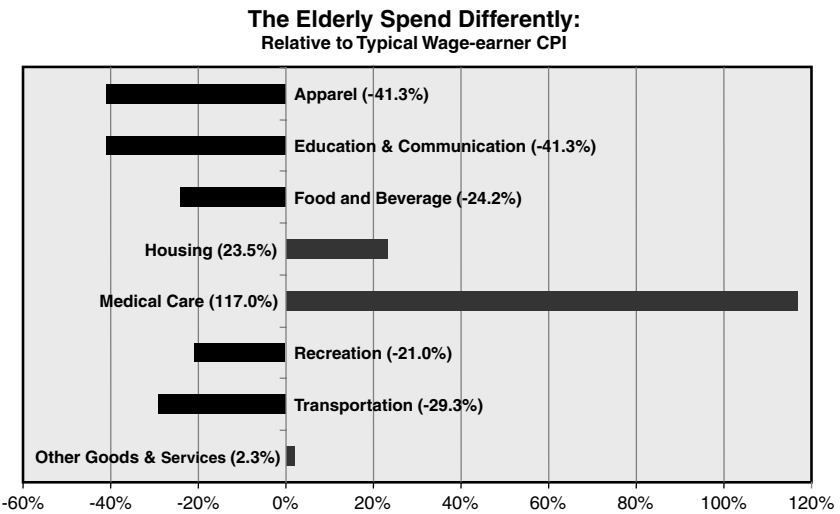


Figure 5.2 Inflation is not an atmospheric phenomenon.

Data Source: Bureau of Labor Statistics; IFID Centre calculations.

What is the practical side of all of this? First, sit down and conduct a very careful analysis of your expenditures and spending allocations. In fact, perhaps you might want to start by creating your rough inflation rate based on how you actually spend your money as well as where you live. Use the numbers and inflation rates in Table 5.3 to create a personal inflation rate, or do some extra homework and dig up the rate based on where you live.

Just as a very hypothetical example, imagine that your retirement spending consists of only two consumption goods: housing and medical care. You consume or spend money on these two categories in